

# Current Events Study Guide 6: SoftBank Junk Bonds vs. SpaceX BBB Bonds

*Credit Ratings, Buyers and AI Financing (BKM Ch. 14-15)*

Oct 7, 2026 · Jim Northey

## Overview and learning objectives

Two AI-linked bond deals priced weeks apart in 2026 show how the same boom is financed at very different costs: SoftBank paid nearly 10% as a junk-rated borrower, while SpaceX paid roughly 5.35% to 6.65% as a BBB-rated one. The difference comes down to credit rating, and the rating also decides who is allowed to buy the bonds.

After studying this guide you should be able to:

1. Explain why SoftBank's bonds are rated below investment grade and SpaceX's are not.
2. Identify the likely buyers of each deal and the mandate rules that shape them.
3. Explain how rating translates into yield, order-book depth and secondary-market behavior.
4. Describe where the money goes in each deal, and where the reporting does not support the common shorthand that both deals buy Nvidia chips.

## Start here: six ideas before you read

If bonds are new to you, read this first. Everything later in the guide builds on these six ideas.

1. **A bond is an IOU.** A company borrows money and promises to pay interest every year (the coupon) and to repay the original amount (the principal) on a set date. A \$1,000 bond with a 5% coupon pays  $0.05 \times \$1,000 = \$50$  a year.
2. **A credit rating is a report card.** Agencies such as S&P, Moody's and Fitch grade how likely a borrower is to repay. BBB- and above is "investment grade"; BB+ and below is "junk" (also called high yield).
3. **Riskier borrowers pay more.** If you lend to a friend who often forgets to repay, you would ask for more interest. Bonds work the same way: a 9.75% coupon pays \$97.50 a year on \$1,000, while a 5.65% coupon pays \$56.50.
4. **Some investors have rules.** Many funds may only hold investment-grade bonds; this rule is called a mandate. Households have no such rules, so different kinds of investors end up buying different bonds.
5. **Demand sets the price.** When a company sells new bonds, investors place orders. If orders are three times the amount for sale, the sale is "three times covered". Weak demand forces the company to pay more.
6. **Leverage means borrowing to invest.** It magnifies gains and also losses. Both SoftBank and SpaceX are using borrowed money to pay for AI growth.

## The two deals at a glance

SoftBank paid up to 9.75% on a junk-rated deal; SpaceX paid up to 6.65% on a BBB-rated deal twice the size. Both are borrowing to fund AI expansion, but the rating drives price, tenor and buyer base.

| Item   | SoftBank (priced Sept 24, 2026)            | SpaceX (priced June 2026)                           |
|--------|--------------------------------------------|-----------------------------------------------------|
| Issuer | Japanese holding company funding AI stakes | Rocket and AI company, public since its June 12 IPO |

| Item               | SoftBank (priced Sept 24, 2026)                                                                           | SpaceX (priced June 2026)                                       |
|--------------------|-----------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|
| Size               | \$11.1B (about \$10B dollar notes plus two €500M tranches)                                                | \$25B (upsized from a \$20B plan)                               |
| Stated purpose     | Replace bridge loans behind its \$30B OpenAI commitment; covers the Oct 1 installment                     | Refinance a bridge loan; fund AI expansion                      |
| Credit rating      | Below investment grade: BB+ at S&P and Fitch per one report, BB at S&P per another                        | BBB at S&P, Baa1 at Moody's, BBB+ at Fitch                      |
| Coupons            | Dollar: 8.625%, 9.25%, 9.75%. Euro: 7.125%, 8%                                                            | 5.35%, 5.65%, 5.875%, 6.6%, 6.65%                               |
| Maturities         | 3.5 to 7.5 years (dollar), 4 and 6 years (euro)                                                           | 5, 7, 10, 20 and 30 years (2031 to 2056)                        |
| Demand             | More than \$20B of preliminary orders on about \$11B                                                      | Near \$85B to \$90B at peak, about \$73B at pricing, on \$25B   |
| Lead banks         | Citigroup, JPMorgan                                                                                       | BofA, Citigroup, JPMorgan, Goldman Sachs, Morgan Stanley        |
| Likely core buyers | Global high-yield and credit funds (dollar and euro deal); Japanese retail investors (separate yen bonds) | Investment-grade asset managers, insurers, pension funds, banks |
| Early reception    | Not yet reported in the sources reviewed                                                                  | Traded wider within days of pricing                             |

The “likely core buyers” row is inference from how each rating class is normally financed. Neither issuer has published a buyer breakdown.

## Deal 1: SoftBank's bond financing of its OpenAI commitment

SoftBank is using debt to pay for a \$30B OpenAI investment, and the market charges it junk-bond prices for doing so. On February 27 it committed \$30B through Vision Fund 2 at a \$730B pre-money valuation, payable in three equal installments on April 1, July 1 and October 1. Cumulative investment in OpenAI reaches \$64.6B for a stake of about 13%, per [TNW](#).

How it was financed:

- **Bridge loans first.** SoftBank said the investment would be financed initially by bridge loans, later replaced by other financing. It had prepaid \$25.9B of \$30B drawn on a \$40B facility by September 9.
- **Dollar and euro bonds.** The \$11.1B deal launched September 21 and priced September 24, with settlement on September 29. It was timed to land before the October 1 installment.
- **Japanese retail bonds.** A record ¥1 trillion (\$6.3B) seven-year retail bond priced September 4 at 4.75%. About ¥400B refinanced retail bonds maturing in September.
- **Earlier deals.** In April SoftBank paid a record 8.5% on a 10-year dollar tranche as part of a \$3.6B sale.

The borrowing is layered. SoftBank also pledged Arm shares against a \$25B margin loan, and it sold its entire \$5.8B Nvidia stake and about \$9.2B of T-Mobile shares. Its own loan-to-value ratio is 13%; S&P's calculation is 33%. The gap between those two methods is a reminder that leverage depends on how you measure it.

Risk flag: Bloomberg-sourced coverage reported that OpenAI's IPO may be delayed. SoftBank's repayment depends heavily on the value of that one stake.

## Deal 2: SpaceX's debut investment-grade bond

SpaceX borrowed \$25B at BBB-tier ratings even though it loses money, because it holds large cash reserves and has contracted AI revenue. The sale came days after its June 12 IPO, which raised about \$75B at base size and was reported near \$86B with the overallotment.

- **Rating:** BBB at S&P, Baa1 at Moody's and BBB+ at Fitch. Moody's and Fitch place it three steps above junk.
- **Balance sheet:** About \$101B in cash and equivalents as of June 19, against \$29.1B of long-term debt, per [Advisor Perspectives](#).
- **Weakness:** A first-quarter 2026 net loss of \$4.28B on \$4.69B of revenue. S&P expects cash burn through 2030.
- **Contracts:** Roughly \$75B of agreements to provide computing power to Google and Anthropic.
- **Structure:** Five senior unsecured tranches from 2031 to 2056, led by BofA, Citigroup, JPMorgan, Goldman Sachs and Morgan Stanley.

The stated purpose was to refinance a bridge loan and fund AI expansion. Analysts expect debt to be the main funding source for the buildout, supplemented by roughly \$40 billion of additional equity, and project roughly \$276B of capital spending over four years. The reports reviewed do not say the bond proceeds buy Nvidia processors; see the clarifications section below.

## Credit rating differences: junk vs. BBB, and why they matter

Investment grade starts at BBB- (S&P, Fitch) or Baa3 (Moody's); anything below is speculative grade, or junk. SpaceX sits comfortably inside the line and SoftBank sits just outside it.

| Issuer                       | S&P                                                      | Moody's                       | Fitch       |
|------------------------------|----------------------------------------------------------|-------------------------------|-------------|
| Investment-grade floor       | BBB-                                                     | Baa3                          | BBB-        |
| SpaceX                       | BBB                                                      | Baa1                          | BBB+        |
| SoftBank (global scale)      | BB+ per <a href="#">TNW</a> ; BB per <a href="#">FPJ</a> | Not found in sources reviewed | BB+ per TNW |
| SoftBank (Japan retail, JCR) | A expected on the retail prospectus                      |                               |             |

Most sources, including Bloomberg-based reports, say S&P and Fitch both rate SoftBank BB+; one earlier report said BB. Either way it is below investment grade, and S&P moved its outlook to stable from negative in July.

Why the ratings differ:

- **Concentration.** SoftBank's repayment ability leans on the value of a single AI stake (OpenAI) plus Arm shares pledged for loans. S&P puts its loan-to-value at 33%, versus 13% on the company's own method.
- **Liquidity.** SpaceX held about \$101B in cash when it sold bonds. SoftBank is refinancing bridge loans and has said it will replace them with other financing.
- **Cash flow.** SpaceX loses money, and S&P expects it to burn cash through 2030, yet its rating holds because of cash on hand and contracted AI revenue.

What the rating does to price: SoftBank's longest dollar tranche (7.5 years) paid 9.75%. SpaceX's 10-year paid 5.875%, a gap of  $9.75\% - 5.875\% \approx 3.9$  percentage points even though SpaceX's maturity is longer. Within SoftBank's own funding, the same credit paid 4.75% in Japanese retail

yen bonds but about 9% to 10% in the offshore dollar market, roughly 350 to 500 basis points more.

The rating also decides who may buy. Many institutional mandates, such as investment-grade-only funds, cannot hold junk, which narrows the buyer pool and raises the price of the debt.

## Likely purchaser differences: who buys each bond and why

SoftBank sells to two separate crowds, Japanese savers and global high-yield funds, while SpaceX sells to one mainstream investment-grade crowd. Neither issuer has published who bought, so the table below combines reported facts with how each rating class is normally financed (marked as inference).

| Buyer group                        | SoftBank                                                        | SpaceX                                                | Reason                                                                                                      |
|------------------------------------|-----------------------------------------------------------------|-------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
| Japanese retail savers             | Yes: ¥1T retail bond at 4.75%, sold under a domestic "A" rating | Not offered                                           | Households are not bound by investment-grade mandates, and they are attracted by yields above bank deposits |
| Global high-yield and credit funds | Yes: the dollar and euro deal at 7.125% to 9.75%                | Unlikely core buyers (inference)                      | They can hold junk and are paid for the risk                                                                |
| Investment-grade asset managers    | Largely excluded (inference)                                    | Core buyers (inference)                               | Mandates and benchmarks center on investment-grade debt                                                     |
| Insurers and pension funds         | Limited (inference)                                             | Likely buyers, especially long maturities (inference) | Long liabilities favor long, rated bonds; junk usually costs more capital                                   |
| Banks and short-duration funds     | Limited (inference)                                             | Likely buyers of short notes (inference)              | Safety and short maturity matter most                                                                       |

What the reporting does show:

- **SoftBank's retail channel is deliberate.** The company has built it for years, including Hawks-branded bonds named for its baseball team, and has repaid roughly ¥5 trillion of past retail bonds, per [AI2 Work](#). Retail buyers do not face the mandate limits that bind institutions.
- **SoftBank's offshore buyers want 9% to 10%.** The dollar deal drew more than \$20B of preliminary orders on about \$11B, which signals strong appetite among buyers who can hold junk.
- **SpaceX buyers were choosy.** Demand was strongest for the 5-year notes and weakest for the 20- and 30-year notes. The final order book was under three times the deal size, below the roughly four times average for high-grade deals this year, per [Treasury & Risk](#).
- **SpaceX bondholders face stacked exposure.** Analysts note that investors who own SpaceX stock and bonds hold one concentrated bet, not a diversified portfolio, per [Quartz](#).

## Pricing and market reception

Even the investment-grade issuer paid a premium: investors treated SpaceX as a BBB with an unusual risk profile. Companies had already borrowed more than \$410B in bond markets this

year for AI-related spending, according to an August [Business Today](#) report, so buyers had seen a lot of supply.

SpaceX:

- **Premium at issue.** The 2036 notes priced 140 basis points over Treasuries, about 40 basis points wider than the average for similarly rated BBB bonds, and about half a percentage point wider than Intel's same-rated 10-year.
- **Weak aftermarket.** By the Friday after pricing, secondary trading showed losses of about \$305M relative to Treasuries. A large dealer quoted the 2056 notes as much as 28 basis points wider than their 175-basis-point issue spread, per [Alliance News](#).
- **Peers.** Nvidia's 2046 bonds widened 8 basis points, Oracle's also widened, and Alphabet's longer bonds tightened.

SoftBank:

- **Rising cost.** Its 2031 dollar bond yielded about 8.2% in September, up from 6.7% in January.
- **Announcement effect.** When talk of the sale surfaced in August, its 8.5% dollar bond fell about 2.3 points to roughly 98.
- **Price tiers.** Retail yen bonds at 4.75%, dollar notes from 8.625% to 9.75%, and euro notes at 7.125% and 8%: one issuer, a different price for each investor base.

### Sidebar: one borrower, two markets (SoftBank's yen vs. offshore bonds)

Within three weeks in September, SoftBank borrowed from Japanese households at 4.75% and from global investors at up to 9.75%. Same company, same month, a gap of five percentage points. This is the clearest example in the guide of why a CFO must understand how each debt market works.

| Feature               | Yen retail bond (priced Sept 4)                                                        | Offshore dollar and euro bonds (priced Sept 24)          |
|-----------------------|----------------------------------------------------------------------------------------|----------------------------------------------------------|
| Currency              | Japanese yen                                                                           | US dollars, plus two euro tranches                       |
| Size                  | ¥1 trillion (about \$6.3B), a Japanese record                                          | \$11.1B in total                                         |
| Maturity              | 7 years (Sept 16, 2033)                                                                | 3.5, 5.5 and 7.5 years (dollar); 4 and 6 years (euro)    |
| Coupon                | 4.75%                                                                                  | 8.625%, 9.25% and 9.75% (dollar); 7.125% and 8% (euro)   |
| Rating the buyer sees | A from JCR, a Japanese agency                                                          | BB+ from S&P and Fitch (below investment grade)          |
| Who buys              | Japanese households, through brokers such as Nomura, Daiwa, SMBC Nikko, Mizuho and SBI | Global institutions, with Citigroup and JPMorgan leading |
| Who may buy           | Offered only in Japan to Japanese residents; not registered in the US                  | Institutional investors in the US and Europe             |
| Smallest piece        | ¥1 million per bond (about \$6,300)                                                    | Institutional-size lots                                  |

| Feature                         | Yen retail bond (priced Sept 4)                                             | Offshore dollar and euro bonds (priced Sept 24)                                                                                           |
|---------------------------------|-----------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| Premium over government bonds   | About 2.1 points over the 7-year Japanese government bond (2.63% on Sept 8) | Roughly 5 points over comparable US Treasuries (my estimate; the 7-year Treasury yielded 4.56% in August and the 5-year 4.81% on Sept 14) |
| Compared with similar borrowers | The average yen retail corporate coupon in 2026 was 2.3%                    | Early price talk was close to the 8.5% average yield on B-rated US notes                                                                  |

Sources: [SoftBank's September 4 filing](#), [Bloomberg via The Edge](#), [FilingReader](#), [Cbonds](#), [API Ninjas](#), and the offshore pricing sources cited earlier.

**Splitting the five-point gap (approximate).** The 7-year coupons differ by 5.0 points. About 2 points of that is simply that yen interest rates are lower than dollar rates. The remaining roughly 3 points is the price of credit risk, a different rating view and a different buyer base. Do not credit all five points to "risk".

$$\underbrace{9.75\% - 4.75\%}_{\text{total gap} = 5.0} \approx \underbrace{4.6\% - 2.63\%}_{\text{rate level} \approx 2} + \underbrace{\approx 3}_{\text{credit, rating view, buyers}}$$

### What this shows about global finance

- **Markets are segmented.** Japanese savers keep a large share of their money in bank deposits, and Japan's 10-year government yield passed 3% on Sept 1 for the first time since 1996, making bonds more attractive to them. Yen retail corporate bond issuance had already reached ¥2.88 trillion by Sept 4, above any previous full year.
- **Ratings are not universal.** An "A" on a Japanese scale and a "BB+" on the global scale describe the same company to two audiences. Households buy the first, institutions the second.
- **Capacity is limited.** One market cannot fund everything. ¥1 trillion was a record, and SoftBank still needed offshore money for the rest.
- **Currency matters.** SoftBank's big commitment, OpenAI, is in dollars, so yen borrowing must be converted. This is a general finance point, not from the reporting: the cheap yen coupon has to be weighed against hedging costs or currency risk, which is a real concern with the yen weak.
- **Money is fungible.** A summary of SoftBank's filing says the yen bond proceeds go to redeem domestic bonds and partly fund the acquisition of ABB's robotics business, yet coverage links its retail funding to its AI spending. Cash raised in one place frees cash for another.
- **Retail buyers carry real risk.** The bond is unsecured, locked up for seven years, and trades thinly, while SoftBank's shares have been very volatile. That connects to the suitability questions in the question bank.

### A CFO's checklist for global funding

1. Which investor groups can I reach in each currency, and under which rating scale?
2. What does each market charge for my credit right now?
3. How much can each market absorb before the price rises?
4. What currency do I need the money in, and what will converting or hedging cost?
5. When do my existing bonds mature, and can I refinance them in time? SoftBank used about ¥400B of the yen deal to refinance retail bonds maturing in September.
6. Does each investor group understand the risk it is taking?

## Clarifications on use of proceeds and the AI-financing loop

The popular shorthand, that both bond sales end up buying Nvidia chips, is only partly supported by the reporting. Here is what the sources do and do not say.

- **SoftBank's proceeds fund OpenAI equity, not chips directly.** The bonds replace bridge loans behind its OpenAI investment. No reviewed source ties SoftBank's bonds to a SpaceX equity purchase, and SoftBank sold its own \$5.8B Nvidia stake.
- **SpaceX's \$25B bond refinances a bridge loan and funds AI expansion.** The reports do not itemize Nvidia processor purchases. A company supplying computing power will need processors, so chips are a plausible part of its spending, but that is inference.
- **The \$40 billion figure.** The only \$40B tied to SpaceX in this research is analysts' expectation of roughly \$40B of additional equity alongside debt. SoftBank's bridge facility was also \$40B. Neither is a \$40B SpaceX bond.

The loop the reporting does support:

1. Investors buy SoftBank and SpaceX bonds, paying prices that reflect each issuer's rating.
2. The proceeds fund AI equity stakes and AI infrastructure.
3. AI developers and compute suppliers spend on data centers and processors.
4. Chipmakers earn large profits and also borrow: Nvidia sold \$25B of investment-grade bonds in June and drew more than \$85B of orders, per [Motley Fool](#).

The point for students: the financing chain is long, and each link has its own rating, lender and risk.

## Big Tech cash flow: is it really negative?

Partly. Free cash flow has turned negative at Oracle, at Amazon over the last twelve months, and at Alphabet for one quarter. Meta is near zero, while Microsoft and Nvidia remain strongly positive.

A note on terms: **free cash flow** is cash from operations minus capital spending (capex). It is not the same as "net cash flow", which is the change in a company's cash balance and also counts borrowing and share sales. Negative free cash flow means a company spends more on building than its business generates, so it must borrow, sell shares or draw down cash.

$$FCF = CFO - CapEx$$

Where:

- **FCF** = free cash flow for the period.
- **CFO** = cash flow from operations (cash the business itself generates).
- **CapEx** = capital expenditures (cash spent on data centers, equipment and other long-lived assets).

| Company                   | Credit rating (S&P) | Free cash flow, latest period                                                              | 2026 capex                                               | What stands out                                                               |
|---------------------------|---------------------|--------------------------------------------------------------------------------------------|----------------------------------------------------------|-------------------------------------------------------------------------------|
| <a href="#">Microsoft</a> | AAA                 | About +\$67B for fiscal 2026 (ended June 30); +\$19.6B in the April-June quarter, down 23% | About \$175B for calendar 2026, including finance leases | Operating cash flow of \$182.9B; expects to stay positive through fiscal 2027 |

| Company                  | Credit rating (S&P)                                   | Free cash flow, latest period                                                                  | 2026 capex                                         | What stands out                                                                              |
|--------------------------|-------------------------------------------------------|------------------------------------------------------------------------------------------------|----------------------------------------------------|----------------------------------------------------------------------------------------------|
| <a href="#">Alphabet</a> | AA+                                                   | –\$5.9B in Q2 2026, its first negative result since its 2004 IPO                               | \$195B to \$205B                                   | Debt near \$100B; raised \$84.75B of new equity in June                                      |
| <a href="#">Amazon</a>   | AA                                                    | –\$7.6B over the twelve months to June 30, its first negative reading since 2023               | About \$220B, raised from about \$200B             | Operating cash flow of \$161.4B; long-term debt of \$128.9B                                  |
| <a href="#">Meta</a>     | AA-                                                   | +\$0.8B in Q2 2026, against \$12.4B in Q1                                                      | \$130B to \$145B                                   | Q2 operating cash flow of \$31.9B; long-term debt of \$83.7B, up from \$58.7B a year earlier |
| <a href="#">Oracle</a>   | BBB- (cut from BBB on July 9)                         | –\$23.7B for fiscal 2026 (ended May 31, 2026)                                                  | \$55.7B in fiscal 2026; about \$70B in fiscal 2027 | Operating cash flow of \$32.0B; S&P cited negative free cash flow and customer concentration |
| <a href="#">Nvidia</a>   | Investment grade (rating not in the sources reviewed) | +\$96.7B for fiscal 2026 (ended January 2026); +\$48.6B in the quarter ended April             | Not a large capex spender; it sells the chips      | Sold \$25B of bonds in June despite its cash flow                                            |
| <a href="#">SpaceX</a>   | BBB                                                   | About –\$13B for 2025 (my arithmetic: \$6.7B operating cash flow less capex of close to \$20B) | Analysts project about \$276B over four years      | Held \$100.8B of cash at June 19                                                             |

The periods differ (one quarter, twelve months, or a fiscal year), so compare the direction rather than the size. Ratings are from [MLQ's summary of S&P](#) and [FactSet](#). Nvidia's cash flow comes from [its SEC filing](#) and the [quarterly data](#).

Forecasts point the same way. Bank of America is reported to project the five big hyperscalers' combined free cash flow falling from about +\$180B in 2025 to about –\$64B in 2026 and –\$144B in 2027. Treat that as a forecast, not a result, because I read it only in a secondary summary.

## Total borrowing and how it is structured

The five biggest hyperscalers have sold roughly \$220B of bonds in 2026, and Goldman Sachs puts all AI-linked financing this year near \$500B. Estimates differ because they count different companies, periods and instruments, so read the “who counted what” column.

| Measure                                                                                      | Amount                                                                                             | Who counted what                                                          |
|----------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------|
| Bonds sold by Amazon, Alphabet, Meta, Microsoft and Oracle, January to August 2026           | About \$220B                                                                                       | Reuters, via <a href="#">MLQ</a>                                          |
| Bonds sold by Amazon, Alphabet, Meta and Oracle through early July 2026, against all of 2025 | About \$194B against about \$108B (up 79%)                                                         | Reuters analysis of LSEG data, via <a href="#">BigGo</a>                  |
| All financing provided to AI-linked groups in 2026 so far                                    | About \$500B, of which the five hyperscalers are about \$200B                                      | Goldman Sachs, via the <a href="#">Financial Times</a> (Sept 28)          |
| Global AI-related debt issuance in 2026                                                      | More than \$575B                                                                                   | Goldman Sachs credit strategists, via <a href="#">Bloomberg</a> (Sept 23) |
| Total debt of the five hyperscalers                                                          | About \$700B; new debt covered 32% of capex in the latest twelve months, against 9% in fiscal 2024 | <a href="#">FactSet</a> (July 23)                                         |
| Forecast: debt the five will issue                                                           | \$250B in 2026 and \$400B in 2027 (Goldman); more than \$1 trillion over the next few years        | Goldman Sachs, via BigGo and the Financial Times                          |

Bond debt is only one funding channel. The others are harder to see:

| Channel                                            | How it works                                                                                                                  | Examples and size                                                                                                                                                       |
|----------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Public bonds                                       | The company sells notes to investors; the debt sits on its balance sheet                                                      | Amazon raised about \$54B across US and European markets in March and \$25B in July; Alphabet sold a \$31.5B package in February that included a 100-year sterling bond |
| Bonds in other currencies                          | The same notes sold in Canada, Australia, Switzerland and the UK                                                              | Amazon sold C\$14B in June, a Canadian-dollar record; Alphabet sold a record A\$5.5B                                                                                    |
| New equity                                         | The company sells shares                                                                                                      | Alphabet raised \$84.75B in June, including \$10B from Berkshire Hathaway; Oracle raised \$5B in fiscal 2026                                                            |
| Joint ventures and special purpose vehicles (SPVs) | A separate entity borrows, builds the data center and leases it to the tech firm; the debt stays off the firm's balance sheet | Meta's Hyperion campus: a \$27.3B bond through an SPV with Blue Owl, which owns 80% (Meta 20%); the bond is rated A+, one notch below Meta                              |
| Data center leases                                 | Long leases signed but not yet started are not recorded as debt                                                               | About \$820B across the five, per FactSet; Oracle is the most exposed, at almost three times its fiscal 2027 capex guidance                                             |

| Channel                                                  | How it works                                                                        | Examples and size                                                                                             |
|----------------------------------------------------------|-------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| Private credit                                           | Non-bank lenders fund data centers and chips                                        | Roughly \$200B to \$250B of private credit is involved in data centers, per Columbia's Stijn Van Nieuwerburgh |
| Customer prepayments and "bring your own hardware" deals | The customer pays early or supplies its own chips, so the provider spends less cash | Oracle's bring-your-own-hardware contracts totaled \$75B at its latest update                                 |

Two cautions for students:

- **"Off-balance-sheet" is not one number.** One analysis counts about \$65B of off-balance-sheet financing, mostly joint ventures such as Meta's, while FactSet counts about \$820B of unrecognized lease commitments. They measure different things.
- **Investor appetite is thinning.** Coverage on hyperscaler bond deals fell from about 5 times in February to below 2 times in July, and Amazon paid 18 to 21 basis points extra on its longest July bonds. Moody's has warned that leasing structures could force it to adjust companies' debt, which would affect ratings.

## Why this matters for ratings and for the SoftBank and SpaceX deals

The cheapest AI money goes to the companies with the strongest cash flows, and the price rises as the rating falls. The ladder runs from Microsoft (AAA) through Alphabet (AA+), Amazon (AA) and Meta (AA-), down to SpaceX (BBB), Oracle (BBB-, one step above junk) and SoftBank (BB+, the top rung of junk).

- **Negative free cash flow is what sends companies to the bond market.** Oracle shows the cost: S&P cut its rating in July, citing negative free cash flow and heavy dependence on a few customers.
- **The top names still borrow cheaply.** Reuters reported median spreads of about 40 basis points over Treasuries for two- to four-year bonds from Amazon, Alphabet, Meta and Oracle, up from 30 in 2025. Compare that with SoftBank paying up to 9.75% in total yield.
- **Nvidia sits at the other end of the chain.** Hyperscaler spending is its revenue. It earns huge cash flow yet still sold \$25B of bonds in June, and that deal drew about \$85B of orders.
- **Weaker borrowers feel thinning demand first.** This is my inference from the evidence above: as coverage on hyperscaler bond deals fell, SpaceX paid a premium over similar BBB bonds and SoftBank paid close to 10%.

Sources for this section not linked above: [Fortune on falling bond coverage](#), [IESE on off-balance-sheet financing](#), [Columbia and Princeton on the Meta Hyperion structure](#), [IFR on Moody's warning](#), and [Nvidia's bond sale analysis](#). Pages opened in full: TMT Finance and FactSet. Everything else was read as search excerpts, and the Bank of America forecast is secondhand.

## Key terms

| Term              | Meaning                                                                        |
|-------------------|--------------------------------------------------------------------------------|
| Investment grade  | Rated BBB- / Baa3 or higher; seen as lower default risk                        |
| Junk (high yield) | Rated BB+ / Ba1 or lower; pays more because default risk is higher             |
| Credit rating     | An agency's opinion on an issuer's ability to repay (S&P, Moody's, Fitch, JCR) |

| Term                  | Meaning                                                                       |
|-----------------------|-------------------------------------------------------------------------------|
| Bridge loan           | Short-term loan that is replaced later by longer-term financing such as bonds |
| Senior unsecured note | A bond with no specific collateral, ranked ahead of subordinated debt         |
| Subordinated bond     | Debt that is repaid after senior debt, so it pays a higher coupon             |
| Spread                | The yield a bond pays above a benchmark such as US Treasuries                 |
| Basis point           | One hundredth of a percentage point (100 basis points = 1%)                   |
| Order book            | Investor orders for a new bond; the multiple of the deal size signals demand  |
| Mandate               | The rules that limit what a fund may hold, such as investment-grade only      |
| Retail bond           | A bond sold to households rather than institutions                            |
| Leverage              | Using borrowed money to fund investments; amplifies gains and losses          |
| Loan-to-value (LTV)   | Debt divided by the value of the assets backing it                            |

## Multiple-choice question bank (for review)

These 29 questions replace the earlier open-ended questions. Each has four options with one correct answer and a one-line explanation, so the bank can be graded automatically. Wrong options are true statements that do not answer the question, or alternative numbers and definitions, so no option states a false fact about a real company or market, with one deliberate exception: question 13 includes an obviously false option, and its explanation labels it as false. The essay question below stays as the written assignment. Questions 14 and 21 use government yields from [Cbonds](#) (Japan, Sept 8) and [Mortgage News Daily](#) (US Treasury, Sept 14), read as search excerpts. Their dates differ from SoftBank's pricing dates, so those answers are approximate.

### Part 1: Foundations

**1.** A bond has a face value of \$1,000 and a 9.75% coupon. How much interest does it pay each year?

- A. \$9.75
- B. \$97.50
- C. \$975.00
- D. \$0.98

**Answer: B.** The coupon is a percentage of face value:  $0.0975 \times \$1,000 = \$97.50$ .

**2.** On S&P's scale, which is the lowest rating that still counts as investment grade?

- A. BBB-
- B. BB+
- C. BBB+
- D. A-

**Answer: A.** BBB- is the floor of investment grade; BB+ and below is junk (high yield).

**3.** SpaceX's 2036 notes priced 140 basis points over Treasuries. How many percentage points is that?

- A. 0.14
- B. 14
- C. 1.4
- D. 140

**Answer: C.** One basis point is one hundredth of a percentage point, so  $140 \times 0.01 = 1.4$  points.

**4.** Free cash flow is:

- A. Operating profit divided by revenue (operating margin)
- B. Revenue minus the cost of goods sold (gross profit)
- C. The change in a company's cash balance over a period (net change in cash)
- D. Cash from operations minus capital spending

**Answer: D.** Free cash flow is what is left after a company pays for its investments. The change in cash balance (option C) also counts borrowing and share sales.

**5.** SpaceX's \$25B bond sale drew about \$73B of orders at pricing. About how many times covered was the deal?

- A. About 1.5 times
- B. About 2.9 times
- C. About 4.0 times
- D. About 6.0 times

**Answer: B.**  $\$73B \div \$25B \approx 2.9$ . That is below the roughly four-times average for investment-grade deals this year.

## Part 2: Credit risk and rating versus price

**6.** SoftBank's 7.5-year dollar notes pay 9.75% and SpaceX's 7-year notes pay 5.65%. On a \$1,000 bond, how much more interest per year does SoftBank pay?

- A. \$4.10
- B. \$9.75
- C. \$41.00
- D. \$410.00

**Answer: C.** SoftBank pays \$97.50 and SpaceX pays \$56.50:  $(0.0975 - 0.0565) \times \$1,000 = \$41.00$ .

**7.** Which statement best explains why SoftBank pays more than SpaceX?

- A. Citigroup and JPMorgan led SoftBank's offshore deal.
- B. SoftBank is rated below investment grade, so lenders demand extra yield for the higher chance of not being repaid.
- C. SpaceX sold its bonds shortly after its IPO.
- D. SoftBank's offshore deal included two euro tranches.

**Answer: B.** The extra yield is the credit risk premium. The other options are true facts about the deals, but none explains the difference in yield.

**8.** SpaceX is rated BBB, yet its order book was under three times the deal size (about four times is typical for investment-grade deals) and it priced about 0.4 points wider than the average BBB bond. What is the best explanation?

- A. SpaceX's bonds were sold in five tranches from 2031 to 2056.
- B. SpaceX held about \$100B of cash when it sold the bonds.
- C. SpaceX's proceeds were used to refinance a bridge loan.
- D. A rating measures ability to repay, not whether the price, maturity, supply and cash burn make the bond attractive to investors.

**Answer: D.** The deal still sold, with orders of roughly \$73B to \$90B for \$25B, so it was not a failure. But SpaceX paid more than similar BBB borrowers.

**9.** Demand for SpaceX's 20- and 30-year notes was the weakest of the five tranches. Which reason fits best?

- A. Thirty years is a long time to rely on a company that S&P expects to burn cash through 2030.
- B. SpaceX's 2056 notes carry the highest coupon of the five tranches, 6.65%.
- C. The five-year notes were the largest tranche, at \$7.0B.
- D. SpaceX sold the notes less than two weeks after its IPO.

**Answer: A.** The longer the loan, the more time for a cash-burning company's plans to go wrong. The other options are true facts about the deal but do not explain weak demand for long maturities.

**10.** If SpaceX were downgraded below investment grade, which investors would most likely be forced to sell?

- A. Japanese retail savers
- B. High-yield funds
- C. Investment-grade-only funds bound by their mandates
- D. Anyone holding US Treasuries

**Answer: C.** Mandates that exclude junk would force those funds to sell, which would likely push SpaceX's spreads wider (this effect is an inference, not a reported result).

**11.** An investor owns SpaceX stock and SpaceX bonds. Which description is best?

- A. Bondholders are paid before stockholders if a company fails.
- B. A concentrated bet on one company's execution, held in two forms.
- C. SpaceX's bonds are senior unsecured notes.
- D. SpaceX's stock and bonds are different securities with different legal rights.

**Answer: B.** Analysts quoted in the guide treat the two holdings as a single concentrated exposure. Bondholders are paid first, but they can still lose money.

### **Part 3: Preferred habitat, suitability and global markets**

**12.** Preferred habitat means:

- A. A rule that limits which bonds a fund may hold (a mandate)
- B. The extra yield a bond pays over a government bond (the spread)
- C. The relationship between a bond's maturity and its yield (term structure)
- D. Some investors stick to the kinds of bonds they know (their own currency, a familiar brand, a rating they recognize) and accept a lower return to stay there.

**Answer: D.** Habitat is about investors' comfort zones. The other options define a mandate, the spread and term structure.

**13.** SoftBank's seven-year yen retail bond paid 4.75%, below SpaceX's seven-year dollar notes at 5.65%, even though SoftBank is the riskier borrower. Which explanation is best?

- A. Japanese households' preferred habitat, a domestic "A" rating, freedom from fund mandates, and generally lower yen interest rates.
- B. SoftBank sold the yen bond in a record size of ¥1 trillion.
- C. The Bank of Japan guaranteed the yen bond.
- D. Both bonds have seven-year maturities.

**Answer: A.** The maturities are the same, so they do not explain the gap, and the record size is a true fact that does not explain it either. Option C is false: SoftBank's filing lists no collateral, and nothing in the reporting shows a guarantee from the Bank of Japan or anyone else. Households accepted a lower return because of habitat, the domestic rating, no fund mandates and lower yen rates.

**14.** The yen retail bond and SoftBank's 7.5-year dollar note differ in coupon by 5.0 points (4.75% against 9.75%). About how much of that gap is explained simply by lower yen interest rates?

- A. About 0 points.
- B. About 0.5 points.
- C. About 2 points.
- D. All 5 points.

**Answer: C.** The 7-year Japanese government bond yielded about 2.63%, against roughly 4.6% to 4.8% for US Treasuries, a gap of about  $4.6\% - 2.63\% \approx 2$  points. The remaining roughly 3 points reflects credit risk, a different rating view and different buyers.

**15.** Which of these describes suitability?

- A. An agency's opinion of an issuer's ability to repay (a credit rating)
- B. Whether a bond fits the investor's goals, time horizon and ability to take a loss
- C. The investor orders received for a new bond (the order book)
- D. A short-term loan that is later replaced by bonds (a bridge loan)

**Answer: B.** Suitability is about fit with the investor. The other options define a credit rating, the order book and a bridge loan. Being allowed to buy is a separate question from whether a purchase suits the investor.

**16.** An investment-grade-only bond fund cannot buy SoftBank's offshore dollar notes mainly because:

- A. Citigroup and JPMorgan led the offering.
- B. The offering includes two euro-denominated tranches.
- C. The notes mature in 3.5 to 7.5 years.
- D. The fund's mandate excludes bonds rated below investment grade.

**Answer: D.** SoftBank is rated BB+, which is junk, so a mandate that excludes junk rules the notes out.

**17.** Which investor's obligations best match the maturity of SpaceX's 30-year notes?

- A. A pension fund with 30-year obligations
- B. A money-market fund
- C. A bank holding overnight deposits
- D. A trader who sells within days

**Answer: A.** Long liabilities fit long bonds, although demand for SpaceX's 30-year notes was the weakest of the five tranches.

**18.** What is the main suitability concern for a Japanese household buying SoftBank's yen retail bond?

- A. The bond is sold through large Japanese brokers, including Nomura and Daiwa.
- B. The bond is denominated in yen, the household's own currency.
- C. The household sees an "A" rating while global agencies rate SoftBank BB+, and the unsecured bond locks up money for seven years and trades thinly.
- D. The bond pays interest twice a year, on March 17 and September 17.

**Answer: C.** The other options are true facts about the bond, but none is a suitability concern. The concern is the rating gap plus the lock-up and thin trading.

**19.** SoftBank can borrow at 4.75% in Japan. Why not borrow everything there?

- A. The yen bond has a seven-year maturity.
- B. Retail capacity is limited (¥1 trillion was already a record), SoftBank needs dollars for OpenAI, and relying on one investor base is risky.
- C. The yen bond is unsecured.
- D. The yen bond is rated A by JCR.

**Answer: B.** One market cannot fund everything, and the money is needed in dollars. The other options are true facts about the yen bond but do not explain why SoftBank needs other markets.

#### Part 4: Term structure

**20.** SoftBank's offshore dollar notes pay 8.625% at 3.5 years, 9.25% at 5.5 years and 9.75% at 7.5 years. What does this term structure (yield curve) show?

- A. A downward-sloping curve.
- B. A flat curve.
- C. An upward-sloping curve that adds about 2 points per extra year.
- D. An upward-sloping curve that adds about 0.28 points per extra year.

**Answer: D.** Yields rise 1.125 points over 4 years:

$$\text{slope} = \frac{9.75\% - 8.625\%}{7.5 - 3.5 \text{ years}} = \frac{1.125}{4} \approx 0.28 \text{ points per year}$$

**21.** SoftBank's dollar curve is steeper than the US Treasury curve (about 0.03 points per year between 3 and 5 years) and the Japanese government curve (about 0.15 points per year between 3 and 7 years). Why?

- A. Longer loans give more time for credit problems, so investors demand extra yield for each added year of risk.
- B. SoftBank's notes are denominated in dollars and euros.
- C. SoftBank's dollar notes were priced on September 24.
- D. Both government curves slope upward with maturity.

**Answer: A.** The extra slope is credit risk building with time, for example if OpenAI's IPO slips or a refinancing window closes. The government data come from different dates than SoftBank's pricing, so the comparison is approximate.

**22.** Why can't you read a yen term structure for SoftBank from its yen retail bond?

- A. The bond is unsecured.
- B. The bond pays interest twice a year.
- C. The bond has only one maturity, and a curve needs several maturities.
- D. The bond is denominated in yen.

**Answer: C.** One maturity gives one point, and a curve needs several. The other options are true facts about the bond but do not prevent a curve. Choosing a maturity is also a trade-off: longer borrowing costs more (about 0.25 to 0.3 points per extra year in SoftBank's dollar notes) and locks in funding, while shorter borrowing costs less but must be refinanced sooner.

#### Part 5: Big Tech financing

**23.** Among these companies, which had the largest negative free cash flow in its latest period shown in the cash-flow table? (The periods differ.)

- A. Amazon: −\$7.6B over twelve months
- B. Oracle: −\$23.7B for fiscal 2026
- C. Alphabet: −\$5.9B in Q2 2026
- D. Meta: +\$0.8B in Q2 2026

**Answer: B.** Oracle's fiscal 2026 figure is the most negative. Meta's was slightly positive.

**24.** Which of these companies would you expect to pay the lowest interest on a new bond?

- A. Oracle (BBB-, negative free cash flow)
- B. SpaceX (BBB, negative cash flow in 2025)

- C. Alphabet (AA+, negative free cash flow in Q2)
- D. Microsoft (AAA, strongly positive free cash flow)

**Answer: D.** Microsoft has the highest rating and the strongest cash flow, so lenders see the least risk.

**25.** Nvidia produced \$96.7B of free cash flow in fiscal 2026 yet sold \$25B of bonds in June. Which explanation is best?

- A. Cheap investment-grade borrowing lets it keep cash for buybacks and investments; the deal was not a sign of need.
- B. The notes mature as far out as 2056.
- C. The deal drew about \$85B of orders.
- D. It was Nvidia's first bond sale since 2021.

**Answer: A.** The proceeds were for general corporate purposes, and one analyst called the deal a balance-sheet optimization. Compare Oracle, which borrows because its free cash flow is negative.

**26.** Why do hyperscalers such as Meta use special purpose vehicles (SPVs) and joint ventures for data centers?

- A. Blue Owl owns 80% of the Hyperion data center SPV.
- B. Meta's Hyperion bond was \$27.3B.
- C. To keep the debt off the company's balance sheet and protect the credit metrics its ratings depend on.
- D. The Hyperion bond is rated A+, one notch below Meta.

**Answer: C.** An SPV borrows and builds, then leases the site to the tech firm. Moody's has warned it may adjust company debt for such leases, which could affect ratings.

**27.** A classmate says, "The bond proceeds from SoftBank and SpaceX buy Nvidia chips." What does the reporting in this guide support?

- A. SoftBank sold its entire \$5.8B Nvidia stake.
- B. The reporting ties SoftBank's bonds to its OpenAI investment and SpaceX's bonds to a bridge-loan refinancing and AI expansion; chip purchases are not itemized.
- C. Nvidia sold \$25B of its own bonds in June.
- D. SpaceX held about \$100B of cash in June.

**Answer: B.** The other options are true facts but do not evaluate the claim. Chips may be part of the spending, but that is inference.

**28.** Loan-to-value (LTV) is calculated as:

- A. Debt divided by the value of the assets backing it.
- B. Net income divided by revenue (profit margin).
- C. Total debt divided by annual earnings before interest, taxes, depreciation and amortization (debt to EBITDA).
- D. Annual interest paid divided by total debt (the average interest rate).

**Answer: A.**  $LTV = \text{Debt} / \text{Asset value}$ . S&P puts SoftBank's loan-to-value at 33%, meaning debt is about a third of its asset value. SoftBank's own method gives 13%, which shows leverage depends on how it is measured.

**29.** A bridge loan is a short-term loan that is later replaced by bonds. What is its main risk?

- A. SoftBank arranged a \$40B bridge facility in March.
- B. SoftBank prepaid \$25.9B of its bridge loan by September 9.
- C. If bond markets are weak when it falls due, the borrower may struggle to refinance it.
- D. SpaceX's bridge loan was about \$20B.

**Answer: C.** Refinancing risk is the cost of using temporary funding. SoftBank and SpaceX both used bridge loans and then sold bonds to replace them.

### Answer summary

1 B, 2 A, 3 C, 4 D, 5 B | 6 C, 7 B, 8 D, 9 A, 10 C, 11 B | 12 D, 13 A, 14 C, 15 B, 16 D, 17 A, 18 C, 19 B | 20 D, 21 A, 22 C | 23 B, 24 D, 25 A, 26 C, 27 B, 28 A, 29 C

The correct answers are spread across the letters: A seven times, B eight, C eight and D six.

### Essay question: which bond would you buy?

**For students.** Choose one of the three bonds below and write 500 to 700 words defending your choice.

1. SpaceX's investment-grade (BBB) bonds
2. SoftBank's offshore dollar bonds (BB+, up to 9.75%)
3. SoftBank's yen retail bond (4.75%, seven years)

There is no wrong answer. There are, however, under-defended answers: choices that rest on a hunch, a brand name or a single number. A strong essay shows its reasoning.

**Write your defense in your own voice.** Please answer honestly and write the essay yourself. You are welcome to research as widely as you like: search the web, read news articles, use a Bloomberg terminal, and talk to AI tools to gather facts or test your ideas. The opinion and the writing, however, must be yours. This is practice in forming a view and defending it, and that skill only grows when you do the writing.

Your essay should:

- Say who you are as an investor (for example a pension fund, a high-yield fund, or a Japanese household) and what you need from the investment: your goals, time horizon and any rules you must follow. If you choose the yen bond, note that it is offered only to Japanese residents, so explain which investor you are.
- Use at least three specific numbers from this guide (coupons, ratings, maturities, spreads, order books or cash flow) and use them correctly.
- Explain the credit risk and whether the yield pays you enough for it. Remember that a rating is not the same as a price.
- Discuss maturity (term structure) and at least one of currency, preferred habitat or suitability.
- Name the biggest risk to your choice, say what would change your mind, and compare your pick with at least one of the other two.

### Instructor notes: rubric (12 points)

| Criterion                           | Points | A strong answer shows                                                            |
|-------------------------------------|--------|----------------------------------------------------------------------------------|
| Clear choice and investor profile   | 2      | Names the bond and the investor: type, mandate, goals, time horizon, currency    |
| Credit risk and rating versus price | 3      | Uses rating and coupon or spread, and judges whether the yield pays for the risk |
| Evidence from the guide             | 2      | At least three specific numbers, used correctly                                  |
| Term structure and market factors   | 2      | Discusses maturity plus currency, preferred habitat or suitability               |

| Criterion              | Points | A strong answer shows                                                             |
|------------------------|--------|-----------------------------------------------------------------------------------|
| Risks and alternatives | 2      | Names the main risk, what would change their mind, and compares with another bond |
| Writing                | 1      | Organized, clear, in the student's own voice, and within the length limit         |

### **Instructor notes: strongest arguments and common gaps**

| Choice                         | Strongest arguments                                                                                                                                                                                                                                       | Typical under-defended gaps                                                                                                                                                                                                                                                   |
|--------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| SpaceX BBB bonds               | Investment grade (BBB, Baa1, BBB+); about \$100.8B of cash; roughly \$75B of contracted computing deals with Google and Anthropic; priced about 0.4 points wider than average BBB bonds, and traded wider after issue, so a buyer may get a cheaper entry | Ignoring S&P's view that cash burn will last through 2030; picking the 30-year note without discussing long-maturity risk; choosing it because of the brand name                                                                                                              |
| SoftBank offshore dollar bonds | Highest yield (9.75% at 7.5 years); BB+ is the top rung of junk; S&P said Arm's strong share price supports credit quality and the OpenAI IPO delay has no immediate effect; strong order book                                                            | Ignoring concentration in OpenAI and Arm (about three-quarters of asset value) and S&P's 33% loan-to-value; chasing yield without discussing default risk or whether the investor may hold junk                                                                               |
| SoftBank yen retail bond       | Lowest cost for SoftBank and a fit for a yen-based household that holds to maturity; "A" rating on the Japanese scale; about 2.1 points over Japanese government bonds                                                                                    | Treating "A" as proof of safety when global agencies rate SoftBank BB+; ignoring the unsecured, seven-year lock-up and thin trading; ignoring that only 2.1 points over government bonds may be thin pay for the risk; ignoring currency if the student is not a yen investor |

Grading tip: reward a well-defended choice that you disagree with over a poorly defended choice that you agree with.

### **Further reading: recent news coverage**

These stories let you see the deals as they were reported. Bloomberg stories are mostly behind a paywall, so several links below are licensed copies carried by other outlets. Direct Wall Street Journal and Barron's pages could not be retrieved for this guide; searching those sites for the headlines' key words is a good next step.

When you read any bond story, look for five things: the rating, the interest rate (coupon or yield), the size of the deal, how strong demand was, and what the money pays for.

## SoftBank

| Source and date                          | Story                                                                                         | What to look for                                                                                                                                 |
|------------------------------------------|-----------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|
| Reuters via The Star, Sept 24            | <a href="#">SoftBank raises US\$11.1bil in world's biggest high-yield corporate bond sale</a> | The record size, and the point that Arm and OpenAI make up about three-quarters of SoftBank's asset value                                        |
| Bloomberg via The Edge Malaysia, Sept 23 | <a href="#">Report on SoftBank's junk bond launch at record yields</a>                        | Price talk of 8.75% to 8.875% on the shortest notes sat closer to the average B- yield (8.5%) than to SoftBank's BB+ rating: rating versus price |
| Bloomberg via The Star, Sept 22          | <a href="#">SoftBank seeks US\$11bil in junk bonds for AI stake</a>                           | Why SoftBank is 2026's largest junk-rated bond borrower, and how OpenAI's IPO timing worries investors                                           |
| Bloomberg, April 15                      | <a href="#">SoftBank Pays Record 8.5% on Part of \$3.6 Billion Bond Sale</a>                  | The earlier record coupon; compare it with September's 9.75% to see the cost rising                                                              |

## SpaceX

| Source and date                                              | Story                                                                                                                                                                   | What to look for                                                                                                                                                                                                                                                                                                                   |
|--------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Bloomberg and Reuters reporting via Treasury & Risk, June 23 | <a href="#">SpaceX's \$25 Billion Bond Sale Meets Skepticism from Debt Investors</a>                                                                                    | Order book versus the average, and why bondholders "don't own the upside"                                                                                                                                                                                                                                                          |
| Alliance News, citing Bloomberg, June 26                     | <a href="#">SpaceX bond sale weakens as traders 'scratching heads' over valuation</a>                                                                                   | How the bonds traded after pricing and how Nvidia's bonds compared                                                                                                                                                                                                                                                                 |
| Twenty Four Asset Management (a fund manager's note), June   | <a href="#">SpaceX: Reading between the lines</a>                                                                                                                       | A credit investor's view that the bonds trade at spreads typical of a BBB- credit, about two notches below the actual rating                                                                                                                                                                                                       |
| Nasdaq (Motley Fool), July 24/7 Wall St., July 15            | <a href="#">The Bond Market Is Sending a Terrifying Message to SpaceX -- but Is Anyone Listening? Wall Street Is Ignoring the Bond Market's Warning: SpaceX Is Junk</a> | The 2056 notes fell in price in almost every session after issue<br>An opinion piece arguing that, in early July, SpaceX bonds traded at an average spread of 1.62 points over Treasuries, wider than the 1.55 BB average. It cites a July 7 column by Kaissar; decide whether the rating or the price is the better guide to risk |

The descriptions above come from search excerpts; these pages were not opened in full, and the 24/7 Wall St. spread figures are secondhand.

## Summary: how companies leverage and how credit ratings impact

Both deals show companies using borrowed money to fund AI growth, and both show that the credit rating sets the price of that borrowing and the identity of the lenders. SoftBank, rated below investment grade, paid up to 9.75% and leaned on Japanese households and high-yield funds. SpaceX, rated BBB, paid 5.35% to 6.65% and sold to mainstream institutions, but still paid a premium over similar BBB bonds because of its cash burn. Leverage amplifies outcomes: SoftBank's repayment depends on one stake in OpenAI, while SpaceX depends on its cash and contracted AI revenue holding up.

## Sources

Opened in full:

- [SoftBank is reportedly raising about \\$11bn in bonds \(TNW, Sept 21, updated Sept 24\)](#)
- [SpaceX bond sale weakens as traders 'scratching heads' \(Alliance News, June 26\)](#)

Opened; page text was only partly available, so figures from it come from the search excerpt:

- [SpaceX's \\$25B bond sale meets skepticism \(Treasury & Risk, June 23\)](#)

Search excerpts only (not opened in full):

- [SpaceX bankers kick off marketing of debut bond \(Advisor Perspectives, June 22\)](#)
- [SpaceX's bond boom is giving investors a portfolio headache \(Quartz\)](#)
- [SoftBank Plans Record \\$6.3B Retail Bond Sale \(FPJ, Aug 24\)](#)
- [SoftBank could raise up to \\$20B in bonds \(Business Today, Aug 26\)](#)
- [SoftBank's ¥1 Trillion Retail Bond \(AI2 Work\)](#)
- [Nvidia, Oracle, and now SpaceX are borrowing billions \(Motley Fool, June 20\)](#)
- [SpaceX bonds draw 130 trillion won in orders \(FN News, June 24\)](#)
- [SoftBank to sell notes to Japanese institutions \(The Edge, July 17\)](#)

Figures are as of October 7, 2026. The "likely buyers" analysis is inference; no issuer has published its buyer breakdown.